

SOUTH ATLANTIC: SUMMARY OF KEY RISK, RANKING AND MANAGEMENT STRATEGIES

S/N	Key Issues	Impact	Project Sponsor	L/R	Management Strategies for Outstanding Risks
i	Certainty of Gas Supply/ Purchase/ Processing Agreements	Revenue stability, pricing mechanism, risk management, and long-term production planning/sales profiling.	South Atlantic		GSPA secured with MSN Energy Resources Limited for the supply of gas to South Atlantic's facility. South Atlantic to ensure that the agreements are closed out and endorsed at least within 3 months of the signing of the Joint Venture and Equity Agreement/Contract with MDGIF.
ii	Assurance of Gas off-take	Revenue generation, market access, financing & investment, operational planning, and competitive positioning.			Offtake Agreements from potential offtakers are to be closed out and endorsed at least within 3 months of the signing of JV and equity agreement/contract with MDGIF.
iii	Existence/ provision of Counterpart Funding	Project financing, risk sharing, bankability, cost efficiency, sustainability and project development.			Counterpart funding in respect of the debt financing (including any invested sweat capital), vendor financing and agreements from EPC contractors are to be strictly confirmed upon concluding and taking final investment decision, whether for brown field/green field projects, at most prior to initial milestone fund disbursement.
iv	Accuracy of Project Costs	Cost control and monitoring, budget and financial planning, profitability and return on investment, contract negotiation and procurement.			Project costs, to be finalized from project specification, materials, labor cost, and other factors that impact the project cost as extracts of the detailed design stage deliverables, including documentary evidences of OEM invoices, site inspection reports, executed agreements, etc. Project Monitoring to keep track of the actual accrued expenses during construction.
v	Project Implementation Schedule	Timely of project completion, cost control, resource planning and management, risk mitigation, quality assurance and compliance.			Definitive schedule must be finalized upon conclusion of the detailed design and engineering stage based on detailed engineering plans, technical specifications, and procurement timelines. The schedule must be realistic and achievable. All risk insurance to also be covered.
vi	License and Approval/Permit Consent	Project Compliance to standard, regulations, penalties and imprisonment.			South Atlantic should ensure provision of outstanding Licences & Permits including ESIA approval and any other related approvals within at least 3 months of the signing of all investment agreements with MDGIF.